

the signer. Therefore, if you encounter a ring signature with the public keys of Alice, Bob and Carol, you can only claim that one of these individuals was the signer but you will not be able to pinpoint him or her.⁵⁶

While many are suspicious of such privacy, it should be noted that it has tremendous benefits for fungibility. Fungibility refers to the fact that any unit of currency is as valuable as another unit of equal denomination. A danger for bitcoin, especially for balances known to have been used for illegal activity, is that if an exchange or other service blacklists that balance, then that balance becomes illiquid and arguably less valuable than other balances of bitcoin. While subtle, losing fungibility could be the demise of a digital and distributed currency, hurting the value of all units, not just the ones used for illegal activity. Fortunately, this is one problem that Monero does not have to deal with.

Monero's supply schedule is a hybrid of Litecoin and Dogecoin. For monero, a new block is appended to its blockchain every 2 minutes, similar to Litecoin's 2.5 minutes. Like Dogecoin, however, it will have a small degree of inflation for its entire life beginning in May 2022, when 0.3 monero will be released every minute, totaling 157,680 monero every year. At that time, there will be 18.1 million units of monero outstanding, so inflation in that first year will be only 0.87 percent.⁵⁷ As we head further into the future, that inflation decreases as the base of monero outstanding increases. Interestingly, in 2040 there will be nearly equivalent units of bitcoin and monero outstanding, and in the period of